Hormuz Hope

S&P +0.71% for second straight gain. Brent briefly below $100. ISM Manufacturing 52.7. Trump says Iran asked for ceasefire—Iran denies it.

THE SESSION

Equities extended their relief rally into a second session on Wednesday, opening Q2 with broad gains as ceasefire rhetoric intensified. The S&P 500 added 0.71% to 6,575, the Nasdaq gained 1.16%, and the Dow rose 0.48%. The catalyst was familiar: President Trump posted on Truth Social that Iran's president had asked for a ceasefire, adding that the US would only consider it when the Strait of Hormuz is "open, free, and clear." Tehran's foreign ministry called the claim "false and baseless." The pattern from Tuesday repeated—markets rallied on the aspiration of de-escalation while the diplomatic substance remained unresolved. Brent crude fell sharply, briefly touching below $100 per barrel for the first time since early March before settling near $102. The energy sector lost more than 4% on the session, reversing weeks of war-premium gains. Growth and technology led, with semiconductors, gold miners, and industrials at the front of the rotation.

Economic data provided a constructive backdrop. ISM Manufacturing registered 52.7 in March, beating the 52.3 consensus and marking a third consecutive month of expansion. Production rose to 55.1 and new orders held at 53.5. The caution flag was the prices-paid subindex, which surged 7.8 points to 78.3—the highest reading since June 2022—reflecting energy-driven input cost pressure across the industrial base. Manufacturing employment remained in contraction at 48.7. ADP reported 62,000 private-sector jobs added in March, above the 40,000 consensus, though growth remained narrowly concentrated in healthcare and construction. Gold surged 2.47% to $4,794, extending its rally as both safe-haven demand and ceasefire optimism supported the metal simultaneously. The VIX eased to 24.58, still elevated but off its conflict highs.

IOWN Tactical: The S&P at 6,575 remains well within the ownership zone. Two consecutive sessions of gains on exit rhetoric are encouraging, but Iran's denial of the ceasefire request repeats the pattern the Morning Brief flagged this morning—rallying on what Trump says, not what Iran agrees to. Tonight's 9 PM presidential address is the week's binary event. The ISM prices-paid print at 78.3 is the data point that persists regardless of the geopolitical outcome.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

GFI +6.01% GROWTH PORTFOLIO

Gold's 2.47% surge to $4,794 lifted the South African miner for a second consecutive session. Record cash flows and stable 2026 production guidance support the move.

LRCX +3.91% DIVIDEND STRATEGY

Semiconductors rallied broadly as growth retook leadership from energy. Lam has recovered meaningfully from its mid-March lows as the AI capex thesis reasserts.

AEM +3.50% GROWTH PORTFOLIO

Gold miners extended gains alongside spot gold. Agnico Eagle continues to benefit from record-level commodity prices and strong operational execution.

AMD +3.33% GROWTH PORTFOLIO

Samsung announced a deepened partnership for next-generation AI infrastructure. Broader semi strength and ceasefire-driven risk appetite added momentum.

CAT +3.09% DIVIDEND STRATEGY

Industrial bellwether rallied on ceasefire optimism. Tariff headlines on heavy machinery from Mexico were overshadowed by the broader risk-on rotation.

KEYS +2.65% GROWTH PORTFOLIO

Test and measurement benefited from the broad technology rally as capital rotated back into growth.

DECLINERS

CVX –4.59% GROWTH PORTFOLIO

Energy led to the downside as Brent fell toward $100 on ceasefire hopes. Chevron gave back weeks of war-premium gains in a single session. The S&P energy sector lost more than 4%.

OKE –3.35% GROWTH PORTFOLIO

Midstream sold off alongside the broader energy complex. The rotation out of energy into growth and tech was the sharpest since March 31.

VLO –2.27% DIVIDEND STRATEGY

Refiners fell as crude oil's retreat accelerated. Crack spreads remain elevated but the direction of travel favors oil decline.

MARA –1.47% GROWTH PORTFOLIO

Bitcoin was flat to slightly negative at $68,038 despite the risk-on tone in equities. Crypto miners lagged.

QCOM –1.16% DIVIDEND STRATEGY

Gave back ground despite broader semiconductor strength. Mobile-exposed chips lagged the AI-focused names.

HOLDINGS NEWS

AMD deepened its partnership with Samsung for next-generation AI infrastructure, further cementing AMD's position in the data center GPU and accelerator ecosystem alongside NVIDIA.

Wells Fargo initiated coverage of General Dynamics (GD) with an Overweight rating, citing strong defense spending tailwinds as Pentagon budgets accelerate. GD rose 2.13% on the session.

Lockheed Martin (LMT) gained 2.19% as defense stocks broadly rallied on reports of accelerating Pentagon spending and Boeing's 5% gains. The Artemis II moon mission narrative provided additional tailwind for space-adjacent defense names.

NVIDIA (NVDA) gained 0.77% on continued enthusiasm around Rubin Ultra AI capabilities, with analysts projecting a potential 50% revenue uplift from the next-generation platform.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

+0.60%

vs. DVY –0.25% | IWS +0.67%

GROWTH PORTFOLIO ✗ TRAIL

+0.39%

vs. IUSG +1.35%

YEAR-TO-DATE

Dividend +5.76% vs DVY +7.01% / IWS +3.04%
Growth –2.06% vs IUSG +7.09%